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Here’s how you can use this method to be debt free-

Debts	Outstanding Balance	Interest
Credit Card	₹ 50,000	30%
Personal Loan	₹ 20,000	18%
Home Loan	₹ 10,00,000	11 %

Descending Order

List Debts by Interest Rate

Begin by creating a comprehensive list of all your outstanding debts. For each debt, note down the current balance, the interest rate associated with it, and the minimum monthly payment required. Arrange these debts in descending order based on their interest rates, with the debt carrying the highest interest rate at the top of the list and the lowest at the bottom.

Pay Highest Interest Debt First

While making EMI payments on all your debts, direct any extra funds or money you can allocate toward the debt at the top of your list, which has the highest interest rate. By focusing on the high-interest debt, you’re targeting the debt that is accruing the most interest over time. It helps you minimise the overall interest you’ll end up paying.

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